

COMMENTARY

Enterprise Zones: A Decade of Diversity

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A full decade has passed since Enterprise Zones (EZs) were first proposed as a program to help revive the most depressed pockets of America's cities and towns. Activity on the federal level pales in comparison to the impressive variety of approaches found in states throughout the country. In this "second generation of enterprise zones"—that is, state zones in operation—we can observe some marked shifts away from original EZ theory, some impressive and innovative techniques, and some glaring weaknesses. The agenda for the next few years, as American EZs continue to evolve (perhaps complemented soon by a substantive federal program), involves addressing these shortcomings and continuing to modify the incentives, targeting, and administration for this widespread economic development tool.

THE EVOLVING URBAN LANDSCAPE

The Reagan Administration has come and gone, having left as part of its broad legacy no new program designed to redevelop the nation's most depressed urban areas. Indeed, the Department of Housing and Urban Development during 1981-1989 is much more readily identified with the dismantling of existing programs than with the implementation of novel approaches. This result is not for lack of trying, however, at least if one follows the political rhetoric that dates from candidate Reagan's first successful presidential campaign. From those days in the fall of 1980, and periodically over the next several years, the president continued to call for enterprise zones (EZs)—a new public-private partnership to help bring the entrepreneurial spirit to the nation's most distressed neighborhoods.¹ In EZs, tax, financing, and regulatory incentives would be used to attract increased employment and investment to the nation's most depressed areas. Although a skeletal federal EZ program was included as Title VII of the Housing and Community Development Act of 1987 (signed into law in February 1988),² the president never realized his vision of a nation of active and successful zones.

Enterprise zoning is very much a product of four important trends that have in large part shaped the contours of the urban landscape for the latter decades of the twentieth century. The EZ phenomenon symbolizes the interrelatedness and constructive potential of these four trends.

In law, courts and legislatures have demonstrated a broadened appreciation of the concepts of public use (eminent domain) and public purpose (taxation), more often than not in the context of urban redevelopment. Once freed from the constraints of literalism in cases like *Berman v. Parker* (and its more recent progeny involving football teams, automobile assembly plants, and Hawaiian leaseholds), all strata of government have assumed more creative roles in the land and economic development arenas.³ Lawmakers and jurists generally have been quite receptive to the public sector's active employment of eminent domain and tax concessions designed to foster increased investment and employment, even at the expense of such legal principles as uniformity and the right to use and enjoy private property.⁴

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In *finance*, we have witnessed the formulation of innovative tax-driven and tax-supported instruments that foster and coalesce public-private partnerships in a variety of directions undreamed of but a few decades ago. Industrial development and mortgage revenue bonds (until Congress's recent restrictions), tax increment financing (TIF), and securitization of the secondary mortgage market are just some of the more recognizable examples. Downtown rebirths, suburban industrial parks, and planned unit developments are the concrete manifestations of the reduced debt service, increased after-tax returns, and infrastructure funding generated by these innovative instruments. From tentative origins — the earliest tax-free bonds — to aggressive TIFs and small-issue IDBs, the range of instruments and strategies is as impressive as the controversies concerning their appropriateness and efficacy.⁵

In *governance*, the 1980s was the decade of diminishing federal presence in urban affairs. Reagan's New Federalism placed additional burdens and responsibilities on states and localities already saddled with troubled population centers. Dire necessity has given birth to the invention of a new urban joint venture, one in which the government assumes the role of limited partner. Unlike their parts in traditional public works projects, public officials neither pay for work as it proceeds nor provide day-to-day management.⁶ Credits and deductions have replaced draws and advances; consultation and negotiation prevail, not demand and command. The results have not always been positive; some projects have failed, tax expenditures have been squandered, and some businesses have failed to live up to their promises. Despite such setbacks, states and localities face the uncertainty of the 1990s with an impressive record of innovative and creative governance. In many ways, state and local governments have responded innovatively to the federal government's abdication of front-line responsibilities.

Some municipalities have focused on attracting what (comparatively) few federal dollars remain in programs like CDBG and UDAG. A few states have filled the void with funding programs of their own, a difficult task made even harder during periods of recession and budget shortfalls. To other officials — some fascinated by supply-side theory, some more opportunistic than ideological — private sector capital and leadership have become the target of incentive and partnership initiatives.

In *urban theory* — planning, law, economics, and so on — a growing body of scholars, expressing dissatisfaction with government "solutions" to urban distress and economic stagnation, have instead championed deregulation, privatization, and free market modeling.⁷ Their influence roams beyond the lecture hall and the academic journal; witness, for example, the role played by the Heritage Foundation in the formulation of a number of Reagan administration policies.⁸ The perception — rampant in theory, politics, and in public discourse — that government is the problem undoubtedly has had a dramatic impact on redevelopment and revitalization efforts.

Commentators on the left and right have voiced sharp criticisms of traditional central government spend-and-order responses to urban blight, unemployment, and despair.⁹ Neighborhood groups, taxpayers, and businesses have been angered and alienated by large-scale renewal projects. Economists question government policies designed to encourage large corporations to increase employment rolls. It is no surprise that EZs — originally advertised as freeing business from government constraints — have captured the imagination of ideologues and politicians alike.

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PARALLEL HISTORIES: THE ORIGINS OF AMERICAN EZs

The history of EZs cannot be confined to one country, one period of history, or one level of government.¹⁰ Tampering with taxes and other governmental restraints in order to induce private sector activity is as old as the republic, as Oscar and Mary Handlin revealed in *Commonwealth*, their classic study of early Massachusetts governance.¹¹ More recent precursors range from Senator Robert Kennedy's targeted tax proposals of the 1960s to Puerto Rico's Operation Bootstrap.¹²

The current version of American EZs can be traced most directly to the late 1970s and the ruminations of Peter Hall, then a professor of geography at Reading University. Impressed with the level of economic activity in Hong Kong and Singapore during an Asian trip in 1977, Hall offered a British variation that he named "freeports": "Small, selected areas of inner cities would simply be thrown open to all kinds of initiative, with minimal control." To Hall this "last-ditch solution" constituted an "essay in non-plan."¹³

A year later, in a speech before the Bow Group of the Conservative Party, Sir Geoffrey Howe spoke of “enterprise zones,” a right-wing version of freeports. As ultimately enacted in 1980, U.K. EZs combine tax incentives, deregulation, and outright government aid.¹⁴ More than 20 zones have been designated; not surprisingly, experts disagree as to whether the British program has been worth the time, the expense, and the negative effect on areas adjoining some zones.¹⁵

Thanks largely to the efforts of Stuart Butler, an economist at the Heritage Foundation, the EZ concept made its way across the Atlantic and into the academic and political discourse on urban revitalization. Butler’s advocacy of American zones drew largely on the findings of two leading scholars—Jane Jacobs and David Birch. Butler indulged in Jacob’s vision of an urban village featuring a beneficial balance of residential and commercial uses, inner-city enclaves protected from intrusive government agencies. From Birch, Butler derived the important concept that new, small businesses could generate the jobs necessary to bring a rebirth of the entrepreneurial spirit in those now-depressed and neglected neighborhoods.¹⁶

Even before EZs became a presidential campaign issue in the fall of 1980, New York Congressmen Jack Kemp (a Republican from Buffalo) and Robert Garcia (a South Bronx Democrat) had transformed this ideological import into a federal legislative proposal for providing tax breaks, financing assistance, and regulatory relief for qualified businesses locating in targeted areas.¹⁷ The first version of Kemp-Garcia would be followed by dozens of proposals—most quite similar, a few reflective of more liberal thinking, but all ultimately unsuccessful.¹⁸

At the same time, the “laboratory of the states”—U.S. Supreme Court Justice Louis D. Brandeis’s wonderful appellation—was beginning a much more fruitful experimentation with EZs. Some early efforts were inspired by the model legislation circulated by the conservative American Legislative Exchange Council, although some of the more radical components—like the nonapplicability of price and rent controls, minimum wage provisions, zoning, and building codes—never made it into state codes.¹⁹ By the fall of 1983, legislators in the following states had enacted EZ statutes: Arkansas, Connecticut, Florida, Illinois, Indiana, Kansas, Kentucky, Louisiana, Maryland, Minnesota, Mississippi, Missouri, Nevada, Ohio, Oklahoma, Rhode Island, Texas, and Virginia. In addition, Pennsylvania featured an administratively created package of funding and incentives.²⁰

Elsewhere, the author has used three categories to describe these earliest state zone efforts.²¹ A few states—most notably Rhode Island and Texas—can be called “wait and see,” having passed EZ laws to position themselves to receive anticipated federal designation. Language can be found in a few other states’ statutes—such as Virginia and Maryland—that indicates that lawmakers had congressional activity in mind during the drafting stage. The second category—“promise them anything but call them EZs”—includes states like Florida, in which lawmakers converted a slum and blighted areas statute into an “enterprise zone” program; and Minnesota, with its special incentives for border zones located adjacent to lower-taxing states. Finally states “taking the plunge” included Connecticut (with 6 zones), Kansas (22), Louisiana (473), Maryland (4), Ohio (4), and Pennsylvania (7). In these jurisdictions, EZs had moved beyond the legislative phase, past designation, and into implementation of their geographically targeted incentives.

As Table 1 illustrates, then and today the most common types of tax incentives are property tax reductions or exemptions based on improvements to zone realty (where allowed by state law), sales tax concessions for materials bought, used, and/or sold by EZ businesses, investment tax credits for significant purchases by zone concerns, and employer credits for selective hiring. Often qualification for receiving one or more incentives will be tied to the employment of targeted individuals. Louisiana’s statute is not atypical; Section 1787B(4) of the *Louisiana Revised Statutes Annotated* qualifies those businesses located in an EZ when at least thirty-five percent of its employees:

- (a) Are residents of the same or a contiguous enterprise zone as the location of the business; or
- (b) Were receiving some form of public assistance prior to employment; or
- (c) Were considered unemployable by traditional standards, or lacking in basic skills; or
- (d) Any combination of the above.

TABLE 1
Selected Tax Incentives Available in State EZs

<i>State^a</i>	<i>Real Prop. Tax</i>	<i>Sales/Use Tax</i>	<i>I.T.C.^b</i>	<i>Employer Income Tax</i>
Alabama			X	X
Arizona*				X
Arkansas		X		X
California		X		
Colorado		X	X	X
Connecticut	X	X		X
Delaware			X	X
D.C.	X			
Florida	X	X	X	X
Georgia	X			
Hawaii*		X		X
Illinois	X	X	X	X
Indiana	X			X
Kansas		X	X	X
Kentucky		X		
Louisiana		X		X
Maine				
Maryland	X			X
Michigan	X	X		
Minnesota	X	X	X	X
Mississippi		X		X
Missouri	X			X
Nevada				
New Jersey		X		X
New York	X	X	X	X
Ohio	X			X
Oklahoma		X	X	
Oregon	X			
Pennsylvania	X			
Rhode Island*	X			X
Tennessee				
Texas	X	X		
Utah			X	X
Vermont				X
Virginia		X		X
West Virginia*		X		
Wisconsin				X

a. States with an asterisk feature inactive EZ programs, that is, programs in which specific zones have not yet been designated.

b. Investment tax credits for real improvements in the EZ.

Provisions for bond support for designated zones or businesses and for relaxation or elimination of regulations that burden private sector activities are also typically found in EZ enabling acts.

Meanwhile, on the federal level, the 1980s began with campaign promises and grand plans for a national experiment with tax, financing, and regulatory incentives designed to revitalize the nation's South Bronx. By 1982, the Reagan administration had presented its version of EZs to replace Kemp-Garcia as the main vehicle. The Enterprise Zone Tax Act of 1982 would have allowed HUD to select up to 75 areas meeting distress criteria of high unemployment, poverty, and decrease in population. In those zones, qualified concerns would be eligible for two key tax incentives—elimination of capital gains taxation and credits for hiring new and disadvantaged workers. Zone employees would also have received tax credits. Additional incentives included continued IDB availability and relaxation of certain federal regulations that would not endanger health and safety. By late 1983, the Democrat-controlled House Ways and Means Committee had held hearings on a set of targeted incentive bills. However, that was the high point of activity in Washington for the first half of the decade.²²

The zone story on the state and local level was happier and quite surprising. In anticipation of federal initiatives that never reached the *United States Code*, lawmakers in many more states

debated, formulated, and passed their own sets of zone incentives. Designation and operation often followed soon after enactment, and by early 1985, active zone programs were found in every geographic region, featuring a pleasant variety of incentives and philosophies. Six more state codes contained EZ acts: Alabama, California,²³ Delaware, Georgia, New Jersey, and Tennessee; existing programs, including those in Arkansas, Illinois, Indiana, Kentucky, Minnesota, Mississippi, Missouri, New Jersey, and Virginia, were now in the active phase.²⁴

By the end of the decade, more than 30 states featured active zone programs; that is, enactment had been followed at least by designation of targeted areas. The newest zone statutes could be found in Arizona, Colorado, the District of Columbia, Hawaii, Maine, Michigan, New York, Oregon, Utah, Vermont, West Virginia, and Wisconsin, making a total of 37. This was a rarity, if not unique: states and localities throughout the nation devising, implementing, and administering an ambitious new approach to urban (and nonurban) redevelopment while substantive federal proposals remained static and frustrated.

EVOLUTION ON THE STATE LEVEL: THE SECOND GENERATION OF ENTERPRISE ZONES

The decade began with grand dreams of a nation whose pockets of distress would feature an entrepreneurial climate freed from the entanglements of government. The paradigm derived from Butler, Kemp-Garcia, and Reagan comprised a *federal, supply-side, antiregulatory, conservative-Republican* program to attract *new, small* business to the *inner city*. That model did not last long, once EZs were put through the crucible of the lawmaking process.

Over the past few years, state legislators have expanded the target areas for EZs to include rural and suburban districts, and have directed incentives to existing businesses in order to retain employment in shifting economies. In some states, businesses that make substantial capital investments can qualify for tax concessions available elsewhere only to concerns that increase employment rolls. EZs have passed political muster in a number of states in which moderate and liberal Democrats occupy the executive mansion or control one or more houses of the legislature.²⁵ Moreover, although lawmakers continue to endorse regulatory relief (with the standard caveat that health, safety, and general welfare will not be harmed), in practice there has been little, if any elimination of red tape. Instead, zone selection often precedes reformulation of rules and procedures to make doing business smoother and less complicated. One-stop permitting and zoning map alterations can be found in operative EZs, not sweeping rescission of building code, licensing, and land-use provisions.

This evolution in promulgation, implementation, and operation—this second generation of EZs—has resulted in a new paradigm. According to this experience-based model, zones at their most effective are *state and local, public-private, reregulatory* partnerships, passed and endorsed by *liberals, moderates*, and conservatives of *both* parties, designed not only to attract small, moderate, and larger employers, but also to *retain existing* businesses in urban, rural, and suburban areas.²⁶

The fundamental goal of EZs has shifted as well. We no longer expect zones to produce neighborhood revitalization, although zone proponents would welcome such a development. Instead, EZs have become one more tool for fostering economic development, often in combination with other traditional and cutting-edge state and local programs.

ONE STATE'S EXPERIENCE: EZs IN MARYLAND

Maryland features one of the nation's oldest, best managed, and most studied EZ programs. In 1980, Stuart Butler was invited to Baltimore to explain the EZ concept to state and city officials.²⁷ Suitably impressed with this new notion, state officials visited British zones the following year. Also in 1981, in (somewhat wishful) anticipation of federal action, Maryland lawmakers enacted a statute that made businesses in federally designated zones eligible for a reduction in state workers' compensation premiums and unemployment insurance fund contributions, and for a state income tax exemption. At the same time, the Greater Baltimore Committee, Inc. — "a business organization

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with a membership of over eight hundred Baltimore area firms [serving as] the Chamber of Commerce of Metropolitan Baltimore”—was working in earnest toward a free-standing zone program to aid depressed areas in Baltimore and throughout the state.²⁸

In early 1982, Baltimore city officials joined efforts with the state Department of Economic and Community Development in sponsoring new EZ legislation. Bills were introduced in both houses of the state legislature; the senate version, duly revised to reflect 25 hours of committee hearings, was approved in April, signed in May, and became effective July 1, 1982.²⁹ By December, the first four zones were designated.

A conscious effort was made to design the new act to further the goal of economic development, much like the British zones that inspired in part the Maryland effort. State and local officials felt that existing programs specifically designed for neighborhood and community revitalization would complement the EZ incentives, not be replaced by the new approach.³⁰ According to the enabling statute, at least one of the following four criteria must be met for an area to qualify for designation: unemployment at more than one and one-half the state or national level, population in or near the area qualifying as a low-income poverty area based on the most recent census, 70% of area residents (or those within a reasonable proximity) having less than 80% of the median income of the locality, or population decrease of at least 10% between the last two censuses and chronic abandonment or property demolition or arrearages in property taxation.³¹ Regulations promulgated in 1982 further require localities that are nominating areas for designation to submit a plan for zone management. In addition, these local governments may propose additional incentives such as local subsidies; programs for public safety, infrastructure, trash collection, and day care; contracting out schemes with private sector or neighborhood groups; and regulatory relaxation or elimination.³²

Maryland lawmakers opted for a smaller, experimental approach, limiting designations to at most six in a 12-month period (with no more than one selection per county in any calendar year). The first four zones were located in Baltimore (Park Circle), Capitol Heights (a Washington, DC suburb), Cumberland/Allegany County (a joint designation), and Hagerstown/Washington County (a joint designation). As of the summer of 1989, only nine additional designations had been added (see Table 2). This slow growth is a far cry from the dozens (even hundreds) of designations in Louisiana, Arkansas, and Florida (before the Sunshine State moved to a more limited model in 1986).³³

The major tax incentives are not uncommon: First, zone businesses may receive property tax credits for real property improvements within the EZ amounting to a five-year exemption of 80% of assessed value that then declines by 10% each of the subsequent five years. Local governments submit vouchers for state reimbursement of half of the revenues lost. Second, the state provides income tax credits paid to zone businesses that hire targeted workers. A credit of up to \$3,000 over three years is available for concerns creating jobs for “economically disadvantaged individuals” as certified by the Department of Employment and Training. Businesses that fill new positions with workers not deemed disadvantaged are eligible for a one-time credit of up to \$500.³⁴

Complementing the tax incentives, the state makes available certain financing programs (the latter two specially enhanced for EZs)—the Enterprise Zone Loan Guarantee Fund, the Maryland Land Industrial Land Loan Program, and the Maryland Industrial and Commercial Redevelopment Fund. The Department of Economic and Employment Development is the agency charged with overseeing EZs, having taken over from the former Department of Economic and Community Development.

The level of success (or failure) of the Maryland zone program has been the subject of some recent controversy. In December 1988, the General Accounting Office—in response to a 1986 inquiry by Representatives Kemp and Garcia concerning the efficacy of state EZs—released a study entitled *Enterprise Zones: Lessons from the Maryland Experience*.³⁵ The researchers selected the Maryland program based on their perception that it was similar to proposed federal legislation. The GAO study analyzed employment levels during the initial six years of the state program for three zones—Hagerstown, Cumberland, and Salisbury—and concluded that, although some employment gains could be found, the increases could not be attributed to EZ incentives. Therefore, there would be no corresponding cost offsets in local programs or reduction in welfare dependence among local workers as hoped for by the congressional requesters.

The timing of the release of the GAO study could not have been more disturbing for the new president and his choice for HUD Secretary. In hearings during the spring of 1989, designed to

TABLE 2
Maryland EZs

<i>Location</i>	<i>Date of Designation</i>	<i>Size (in acres)</i>
Allegany County/ City of Cumberland	12/14/82	10,000
Allegany County/ City of Frostburg	6/15/84	119
City of Baltimore/ Park Circle	12/14/82	49
City of Baltimore/ Port Covington	6/13/87	220
City of Baltimore/ Waterview	6/14/85	77
City of Baltimore/ West Baltimore	12/12/83	400
Calvert County	6/6/83	226
Town of Capital Heights	12/14/82	70
Southern Garrett County	12/13/88	53
Garrett County/ Town of Accident	12/12/83	53
Washington County Airport	6/15/84	700
Washington County/ City of Hagerstown	12/14/82	2,000
Wilcomico County/ City of Salisbury	6/6/83	2,132

SOURCE: Maryland Department of Economic and Employment Development.

acquaint the new Congress with HUD's plans for putting meat on the skeletal federal EZ program, Secretary Kemp questioned the relevance of the GAO findings.³⁶ Moreover, in April 1989, the Maryland Department of Economic and Employment Development released a detailed response that criticized the GAO study as "fundamentally flawed." The department pointed to the progress of the state's 13 zones: the creation of 1,600 new jobs, and the additional investment by EZ firms of \$40 million in taxable real property. State expenses totaled \$1.3 million: \$935,000 for reimbursing localities for property tax concessions, plus \$370,000 for income tax credits. The department also questioned the GAO's selection of zones to study, the methodology of the analysis, and the researchers' adjustments of important data (most importantly, the exclusion of the job figures for Kelly-Springfield Tire Company's Cumberland operation).³⁷

What disturbed Maryland officials most fundamentally was the GAO's failure to discern that the state program "*is not intended to stand alone*. Rather, enterprise zones complement and enhance the Department's other economic development and employment programs, as well as other local, state, and federal programs, and focus resources on particularly distressed areas" (emphasis in original).³⁸ This has been the attitude of state officials from the beginning of the Maryland EZ experience: Zones are intended to be a valuable part of a general economic development strategy, a way of targeting and combining local, state, and federal resources wisely and effectively; EZs are not intended as a panacea for blight and severe economic distress.

WHAT'S RIGHT AND WRONG WITH EZs?

Given the variety of state programs, it is quite difficult to generalize as to the benefits and detriments of the EZ concept. The following is a compendium of strengths and weaknesses drawn from the range of state experimentation with geographically targeted incentives.³⁹

When one surveys the range of state experimentation with zones, the most impressive feature is the *diversity in approaches* to confronting economic distress. In testimony prepared for a U.S. Senate subcommittee hearing in November 1987,⁴⁰ the author observed:

The “state laboratory” presents dramatic contrasts—the small business incubator facility in a depressed Chicago neighborhood and the expansive Almonaster-Micheau Industrial District in East New Orleans. In some areas, there is a special historical flavor—as in Tampa’s Ybor City zone or New Britain’s downtown zone. In other areas, like Chicago’s stockyards, old memories make way for new economic realities. Entire towns, such as Cuba, Missouri, and Thief River Falls, Minnesota, have been swept up in EZ fever.

The level of geographic identity of zones varies as well. . .

Some zones foster public awareness. A billboard welcomes customers, visitors, and potential investors to the Park Circle Zone [in Baltimore]. . . . Newsletters report on area economic and social activities in the New Britain and Baltimore zones.

There are zones that feature one key employer, such as the newly renovated Spiegel Company in Chicago’s Back of the Yards EZ. In New Britain, some benefits have aided large and small businesses, residential owners, and others located downtown. Louisville’s expansive EZ encompasses a wide range of residential, commercial, and industrial users, all hoping to benefit from the EZ umbrella.

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Perhaps the most significant contribution made by zones has been the beneficial *restructuring of intergovernmental and public/private relationships*. Quite often these changes have been engendered by the competitive process leading to designation in most states, particularly in a joint nomination (city-county, city-city, etc.). Cooperative alliances between otherwise contentious political subdivisions have appeared time and again. Moreover, state agencies—typically skeptical of local abilities and motives—have devolved significant responsibilities to local officials.⁴¹

The carrot of state incentives also has often been a strong unifying force for public and private sector actors. Because EZs do not significantly cut into state and local budgets, the governmental presence is much more limited than in traditional urban aid contexts. As noted above, government officials consider EZs as one more economic development tool among many, or as the focal point for marketing and providing the full range of redevelopment programs at the state’s or locality’s disposal.

Governmental, business, and neighborhood participants in the zone program can benefit from an advantageous *alternative to the adversarial process* often found in the renewal/redevelopment setting. The preplanning necessitated by the competitive process can induce normal antagonists—developers, neighborhood groups, and local government officials—to work out their differences.⁴² Indeed, several state statutes require a commitment to (even a substantive blueprint for) public/private cooperation before designation will occur. Happily this restructuring is also the positive EZ trait most easily transferable to other settings.

Elements (even specific language) from enabling statutes *have passed freely from state to state* over the past decade. Sometimes the motivation is keeping up with regional competitors in the contest for incentive-shopping employers. Just as often, however, information is shared rather than purloined, in a cooperative spirit that mirrors the zone climate within the state. National trade groups—most prominently the National Association of State Development Agencies and the American Association of Enterprise Zones—and HUD’s Washington, DC, Office of Community Planning and Development have facilitated the free and fruitful exchange of information on such topics as marketing strategies, evaluation, and avenues of legislative reform.⁴³ When the targets are new small businesses and existing employers committed to increased investment in distressed areas—and not the GMs and Toyotas searching for a new exurban megasite—interstate “trade barriers” are neither appropriate nor effective.

Matching this impressive array of zone blessings are some troubling curses. In many instances, lawmakers have worked to redress the problems posed by EZs; too often, however, the sore spots are still unhealed.

Zones in many cases have been *too unfocused*. Questions abound, questions that reveal the ambiguity of this wide-ranging experiment: Is the goal of the program economic development, redevelopment, or perhaps neighborhood revitalization? Is this a local program with a few state incentives, or a state program with little local support? Is this an urban, suburban, or rural program?

Enterprise zones are very much the *creatures of political compromise*, as exemplified in the Maryland case. There are too many zones in some states. There are strange boundaries—gerry-

mandering to the nth degree — so that one site for potential or existing business could be included within the zone even though it is not in any way identified with the zone neighborhood.

Some zones are *too large*, some are *too small*, and some are just in the *wrong place*. When “deserving” areas and businesses are left out of the zone program, critics cry that the entire system is unfair. In too many cases, the legislation itself is poorly targeted; for example, sometimes more distressed areas are ineligible as they fail to possess the requisite population, unemployment, and the like.

EZs have been *too diluted bureaucratically*. Often zones are thrown into the existing departmental structures, meaning one state or local official must split his or her time between EZs, main street programs, block grants, and any number of other related (and unrelated) incentive programs. When Missouri, in 1986, centered the basic responsibility for EZs in one agency — the Department of Economic Development — lawmakers eliminated the inherent internecine tension found in other states. After all, the department of taxation or revenue employs people who have been trained and encouraged to think in terms of tax collection; it makes little sense to give this agency a leading (or strong) role in a program driven by tax breaks. In many states, there is not enough financial and staff support to administer the program, and not enough money to monitor the program efficiently.⁴⁴

Zones in some cases have been *too indulgent of the private sector*. In a number of states, businesses can be automatically qualified to receive incentives without making any representations as to plans for hiring, increased investment, and community responsibility. This lack of accountability can be met if beneficiaries of EZ incentives are required to make two sets of assurances: first, that the business truly needs assistance; second, that the business will continue to contribute to the zone economy for a reasonable time after qualification. Too many communities, such as Yonkers, New York, and Youngstown, Ohio, have found out the hard way that the public-private partnership is only as strong as the contract that binds it.⁴⁵

There is *too much trust in the private sector*; some might say that there is too much fear of the private sector. Too many zone programs allow reincorporation and movement within the state, although other legislative provisions close these loopholes. If employment is indeed a zero-sum game, and zone incentives are available only to large, existing concerns, then the enterprise zone is a losing proposition, for it could very well lead to economic gains at the expense of the community from which the qualified business moved.⁴⁶ If, on the other hand, zone incentives are designed to stimulate the creation of jobs in new small businesses — along the lines suggested by Birch’s findings — *that* is a different game.⁴⁷

In many cases, those designing and implementing zone programs have been *too fearful of innovation*. This hesitancy can be attributed to bureaucratic inertia, sometimes to red tape, and sometimes to the fact that planners and other career civil servants are given the responsibility of administering a program based originally on a philosophy of nonplanning, of private sector domination, and of government withdrawal.

Some zone programs are *too ambitious*, pursuing only large employers. Lawmakers in two states — Missouri (in legislation since repealed) and Illinois (by granting special favors to an employer deemed a “High Impact Business”) — have even created special provisions for attracting businesses capitalized at several hundred million dollars. In the interstate competition for jobs and investment, figures indicating program progress are often inflated, with credit claimed for jobs retained and in no way attributable to zone incentives. It is not surprising that some politicians have been impatient with slow progress in some of the more moderate state programs.

Finally, zones are *too misunderstood* and *too understudied* by the public, by academics, and by economic development, planning, legal, and other experts. The lack of understanding is also shared by officials in state agencies who are quick to criticize EZs, and even by many state and local zone officials who are familiar with their own programs but ignorant that there are alternatives featured in other state programs, other models to emulate.

Unfortunately, too much of what is written about EZs can be categorized as simple counting — adding up employment and investment figures that are often provided by government agencies anxious to paint a bright picture. In May 1989, for example, *Business Facilities Magazine* reported that 184,600 new jobs had been created, 169,100 jobs retained, and \$18.1 billion dollars invested in EZs.⁴⁸ No attempt was made there, or in other similar reports, to demonstrate how much of this activity is attributable to EZ incentives.

Finally, zones are *too misunderstood* and *too understudied* by the public, by academics, and by economic development, planning, legal, and other experts.

Three studies of the zone experience nationwide provide more helpful data and conclusions. *Business Impacts of State Enterprise Zones*, a 1985 study prepared for the U.S. Small Business administration, examined private sector participation in eight EZs during their early years of operation and found, among other modest gains, that “[t]here is evidence that the net number of business establishments entering some of the enterprise zones since the program began has increased more than otherwise would be expected.”⁴⁹ HUD, in a 1986 study entitled *State-Designated Enterprise Zones: Ten Case Studies*, discovered “a positive and tangible impact on business investment” induced simply by zone selection, and noted that some small- and medium-sized cities effectively used EZ designation as “an organizing mechanism for the community to assess its needs, weight its resources, and put together a package of programs that . . . becomes the City’s principal economic development strategy.”⁵⁰ The Center for Regional Business Analysis, in a January 1989 report prepared for the Economic Development Administration, detected job growth rates higher than that found nationally in one-quarter of the zones, and reports that this is “considerable evidence . . . [that] points to a significant marginal and catalytic role played by [EZ] programs.”⁵¹

There are a handful of topical and state studies that provide much-needed details on the progress of the zone experiment as well.⁵² Too often, however, these and other analyses fall short when it comes to tracing employment and investment figures directly to attributes of the EZ program. Perhaps when a new federal program is enacted and promulgated, those officially charged with monitoring activity will accumulate the necessary base data before the selected areas become operative, thus making such findings more accessible.

The private sector is also underinformed. Businesses are unaware that they are eligible to receive zone incentives, or afraid to take tax breaks for fear of an audit. Members of the press and politicians — both groups ever eager to discover whether or not zones “are working” — often misunderstand state EZs; they are unable to move beyond the original Heritage Foundation/ALEC model.

REMAINING QUESTIONS

As the second decade of EZs begins, there are important questions that beg for careful attention. How can state and local governments resolve the questions of fairness raised by awarding — as well as the practical difficulties involved in providing — the tax and financing incentives that form the heart of most zone programs? (Deregulation, though a central tenet of early EZ proponents, has rarely appeared in operative zones.⁵³) The essential legal framework of targeted programs, despite departures from state to state, embodies specific policy choices that run contrary to such deeply held values as free competition, nondiscrimination, and the unfettered flow of commerce and workers. Are there ways to accommodate these conflicts?

Can we devise cost-effective methods for financing more capable administration of zones on the local level, or should states assume more day-to-day responsibilities? What factors and methods should be employed to monitor the expense and efficacy of targeted investment and employment programs? What role can local educational institutions play in evaluating zone performance?⁵⁴

How can present and potential private-sector participants interested in long-term revitalization leverage their investment to yield constructive change? What legal and political measures can be employed (or crafted) to ensure that benefited concerns meet their commitments?

Enterprise zoning has evolved into a movement that *today* is national in scope (even international, with zone-type programs in the United Kingdom, France, Belgium, and China⁵⁵). The phenomenon affects dozens of states, hundreds of localities, thousands of businesses, and hundreds of thousands of American workers and residents, with the promise of continued and expanded activity in the future.

Over the next few years, we can expect not only that a number of states will consider, renew or modify EZ programs, but also that the targeted incentive approach will be applied in other contexts. Policy makers can apply the lessons gleaned from the zone experience wherever there is too little in the way of public money or attention — resulting from revenue shortfalls or from ideological tenets — and the private sector is viewed as the leading agent to fill the need gap. Given budget constraints and deficit crises, dramatic increases in the amounts of urban aid flowing from

Washington stand but a slim chance. We can instead expect the evolutionary, adaptive process to continue along the paths carved out during the past few decades.

Indeed, President Bush's election of long-time zone proponent Jack Kemp as HUD Secretary augurs well for the future of federal EZs. Within the first few months of his tenure, Kemp had begun his campaign in earnest—testifying at congressional hearings, putting on hold the designation process for the weak Title VII program, waging internecine struggles with other administration officials for budget authorization, and shaping legislative packages with enhanced incentives. Only time (and the ever-shifting political winds) will tell whether the federal government will follow the states' lead in devising, implementing, and operating a program with geographically targeted incentives at its heart that, at its best, can aid in attracting additional investment and employment into distressed areas, engender intergovernmental and public/private cooperation, and foster a healthy competition for capital and jobs between and within states.

NOTES

1. D. Boeck, "The Enterprise Zone Debate," *Urban Lawyer* 16 (1984): 71-173; and M. Wolf, "An 'Essay in Re-plan': American Enterprise Zones in Practice," *Urban Lawyer* 21 (1989): 29-53.
2. K. Bird, "Bringing New Life to Enterprise Zones: Congress Finally Takes the First Step with the Housing and Community Development Act of 1987," *Washington University Journal of Urban and Contemporary Law* 35 (1989): 109-127. The Act was passed by Congress on 21 December 1987, and was signed by the president on 5 February 1988. Title VII is codified at Sections 11501-11505 of the *United States Code*.
3. In *Berman v. Parker*, 348 U.S. 26 (1954), the United States Supreme Court validated the use of eminent domain to facilitate the District of Columbia's urban renewal program. Three recent cases illustrate further the courts' liberal understanding of public use: *City of Oakland v. Oakland Raiders*, 32 Cal. 3d 60, 646 P.2d 835, 183 Cal. Rptr. 673 (1982) (use of eminent domain proper not invalid to retain sports franchise); *Poletown Neighborhood Council v. City of Detroit*, 410 Mich. 616, 304 N.W.2d 455 (1981) (upholding city's condemnation of city neighborhood for construction of General Motors factory); and *Hawaii Housing Authority v. Midkiff*, 467 U.S. 229 (1984) (taking landlords' reversion in long-term leasehold with compensation not unconstitutional).
4. C. Haar and M. Wolf, *Land-Use Planning: A Casebook on the Use, Misuse, and Re-use of Urban Land* (Boston: Little, Brown, 1989), 780-826.
5. R. Williams, "State and Local Development Incentives for Successful Enterprise Zone Initiatives," *Rutgers Law Journal* 14 (1982): 41-113.
6. C. Haar, "The Joint Venture Approach to Urban Renewal: From Model Cities to Enterprise Zones," in *Public-Private Partnership: New Opportunities for Meeting Social Needs*, ed. by H. Brooks, L. Liebman, and C. Schelling (Cambridge, MA: Ballinger, 1984), 63-87.
7. R. Cass, "Privatization: Politics, Law, and Theory," *Marquette Law Review* 71 (1988): 449-523; and P. Starr, "The Meaning of Privatization," *Yale Law & Policy Review* 6 (1988): 6-41.
8. W. Hoffer, "Research for Tomorrow," *Student Lawyer* 14 (1985): 38-44.
9. M. Anderson, *The Federal Bulldozer: A Critical Analysis of Urban Renewal, 1949-1962* (Cambridge: MIT Press, 1964); and C. Abrams, *The City is the Frontier* (New York: Harper & Row, 1965).
10. M. Wolf, "Potential Legal Pitfalls Facing State and Local Enterprise Zones," *Urban Law and Policy* 8 (1986): 77-129.
11. O. Handlin and M. Handlin, *Commonwealth: A Study of the Role of Government in the American Economy*, rev. ed. (Cambridge, MA: Harvard University Press, 1969).
12. Williams, "State and Local Development Incentives," 44-45.
13. S. Butler, *Enterprise Zones: Greenlining the Inner Cities* (New York: Universe Books, 1981), 96-97.
14. J. Stamboulouian and I. McDonald, "British Enterprise Zones," in *Cities, Law, and Social Policy*, ed. C. Haar (Lexington, MA: Lexington Books, 1984), 175-200.
15. M. Lloyd and R. Botham, "The Ideology and Implementation of Enterprise Zones in Britain," *Urban Law and Policy* 7 (1985): 33-55.
16. Butler, *Enterprise Zones*, 32-33, 66.
17. C. Haar, M. Wolf, S. Sheon, and J. Friedlander, *Urban Enterprise Zones: Inner City Panacea or Supply-Side Showpiece?* (Cambridge, MA: Lincoln Institute of Land Policy, 1982).
18. Boeck, "Enterprise Zone Debate"; and Wolf, "Essay in Re-Plan."
19. American Legislative Exchange Council (ALEC), "Enterprise Zone Act," in *The Source Book of American State Legislation, 1983-1984* (Washington, DC: ALEC, 1982), 33-44.
20. *EZ Gazette*, Fall 1983 (National newsletter on EZs prepared by EZ Project).
21. Wolf, "Potential Legal Pitfalls," 80-81.
22. Boeck, "Enterprise Zone Debate"; and Wolf, "Essay in Re-Plan."
23. California actually features two EZ acts, one for each end of the political spectrum: the Enterprise Zone Act (A.B. 40), sponsored by Assemblyman Pat Nolan; and the Employment and Economic Incentive Act (A.B. 514), introduced by Assemblywoman Maxine Waters.

24. *EZ Gazette*, Winter 1985.
25. For example, Democratic Governor Mario Cuomo actively promoted Opportunity Zones for the Empire State and has been an active supporter of his state's Economic Development Zone program. Brintnall and Green found that "states with Republican governors have been more likely to implement enterprise zone programs than states with Democratic governors." M. Brintnall and R. Green, "Comparing State Enterprise Zone Programs: Variations in Structure and Coverage," *Economic Development Quarterly* 2 (1988): 65.
26. Wolf, "Essay in Re-Plan," 45-46.
27. Greater Baltimore Committee, Inc., "Report of the Enterprise Zone Subcommittee" (10 July 1981).
28. R. Funkhouser and T. Saquella, *Establishing Enterprise Zones in Maryland* (Cambridge, MA: Lincoln Institute of Land Policy, 1984).
29. Funkhouser and Saquella, *Establishing Enterprise Zones*; B. West, "Maryland Enterprise Zones" (unpublished paper prepared for Enterprise Zones Seminar, Oklahoma City University School of Law, 1987).
30. Funkhouser and Saquella, *Establishing Enterprise Zones*; and Maryland Department of Economic and Employment Development (DEED), "The Maryland Enterprise Zone Program: A Progress Report and Response to GAO" (Baltimore: Maryland DEED, 1989).
31. The statute is codified in Article 41A, Sections 5-301 through 5-305 of the *Annotated Code of Maryland*.
32. West, "Maryland Enterprise Zones."
33. Compare the designation provisions in *Florida Statutes Annotated* § 290.006 (phased out on 31 December 1986) with those in § 290.0065 (current process for selection of up to 30 zones).
34. Maryland DEED, "Maryland Enterprise Zone Program"; West, "Maryland Enterprise Zones."
35. U.S. Government Accounting Office (GAO), *Enterprise Zones: Lessons from the Maryland Experience*, Report to Congressional Requesters (Washington, DC: Government Printing Office, 1988).
36. Kemp expressed dissatisfaction with the GAO findings during a hearing before the Economic Stabilization Subcommittee of the House Banking, Finance, and Urban Affairs Committee. He also stated that the department was slowing down the designation process for the Title VII program "until we get some teeth, some incentives, some beef on the bones." *Housing and Development Reporter*, 3 April 1989: 961.
37. Maryland DEED, "Maryland Enterprise Zone Program."
38. *Ibid.*, Executive Summary.
39. Some of the ideas contained in this section were presented to a January 1988 EZ symposium in Chicago, sponsored by the Institute of Public Affairs, Sangamon State University; the Illinois Tax Foundation; and the Exchange National Bank of Chicago, "Urban Enterprise Zone Symposium: Edited Report of Proceedings," B. Ferrara, ed. (Springfield, IL: Center for Policy Studies and Program Evaluation, Sangamon State University, 1988). Researchers at Sangamon State are currently engaged in a detailed study of the Illinois program that should serve as a model for analyses of other state efforts.
40. "Miscellaneous Tax Issues, Hearing before the Subcommittee on Taxation and Debt Management of the Committee on Finance, United States Senate, Nov. 13, 1987" (Washington, DC: Government Printing Office, 1988).
41. Funkhouser and Saquella, *Establishing Enterprise Zones*.
42. Wolf, "Essay in Re-Plan," 48.
43. National Association of State Development Agencies (NASDA), "State Enterprise Zone Roundup" (Washington, DC: NASDA, 1987); and *Enterprise Zone Notes*, April 1985 (Occasional newsletter published by Office of Community Planning and Development, U.S. Department of Housing and Urban Development).
44. U.S. Department of Housing and Urban Development (HUD), *State-Designated Enterprise Zones: Ten Case Studies* (Washington, DC: HUD, 1986), v.
45. Efforts to keep Otis Elevator in Yonkers fell short, given the absence of solid promises by the private sector participant. See *City of Yonkers v. Otis Elevator Co.*, 844 F.2d 42 (2d Cir. 1988). Youngstown officials attempted to claim a property right in the continued presence of U.S. Steel, an essential employer. The court ultimately rejected this position in *United Steel Workers v. United States Steel Corp.*, 631 F.2d 1264 (6th Cir. 1980).
46. D. Zimmerman, *Federal Tax Incentives for Enterprise Zones: Analysis of Economic Effects and Rationales* (Washington, DC: Congressional Research Service, 1989) (CRS Report for Congress).
47. EZ enabling statutes in Minnesota, Oregon, and elsewhere seek to eliminate intrastate relocations motivated solely by program incentives. Wolf, "Essay in Re-Plan," 49-50.
48. E. Peterson, "Tale of the Tape: EZs Continue to Generate Some Big Numbers," *Business Facilities*, May 1989: 38.
49. S. Jones, A. Marshall, and G. Weisbrod, *Business Impacts of State Enterprise Zones* (Cambridge, MA: Cambridge Systematics, Inc., 1985) (Study prepared for U.S. Small Business Administration), xiii.
50. HUD, *Ten Case Studies*, iii.
51. R. Erickson and S. Friedman, "Enterprise Zones: An Evaluation of State Government Policies" (University Park, PA: Center for Regional Business Analysis, Pennsylvania State University, 1989) (Final Report Prepared for EDA, U.S. Department of Commerce), iii.
52. E. Jones, "Enterprise Zones for the Black Community—Promise or Product: A Case Study," *Western Journal of Black Studies* 11 (1987): 1-7; D. Maloney, "The Success of Enterprise Zones in Virginia: An Uncertain Promise or an Emerging Reality?," *Tax Notes* 37 (1987): 87-101; and J. Papke, *The Indiana Enterprise Zone Experiment: Concepts, Issues and Impact* (West Lafayette, IN: Purdue University, 1988) (Report Submitted to Enterprise Zone Board, Indiana Department of Commerce).
53. HUD, *Ten Case Studies*, vi; and Wolf, "Essay in Re-Plan," 42.
54. Wolf, "Essay in Re-Plan," 51-52).
55. S. Nishitatenno, "China's Special Economic Zones: Experimental Units for Economic Reform," *International and Comparative Law Quarterly* 32 (1983): 175-185; Wolf, "Potential Legal Pitfalls," 79).